COOLFONT MOUNTAINSIDE ASSOCIATION
POLICY RESOLUTION 2020-01
DELINQUENT ASSESSMENT POLICY

WHEREAS, Article V of the Declaration for Coolfont Mountainside Association ("Declaration") and Articles 3 and 8 of the Bylaws (collectively "Association Documents") create an assessment obligation for owners, empower the Board of Directors ("Board") to make assessments for the common expenses of the Association, and to establish guidelines for enforcing the assessment covenant against owners by any lawful means;

WHEREAS, Article V, Section 6, of the Declaration empowers the Board to establish the due dates of assessments; and

WHEREAS, the Declaration, Bylaws and/or the West Virginia Uniform Common Interest Ownership Act expressly provide for the imposition and accrual of interest, late fees, and costs for delinquent assessments; and

WHEREAS, Article V, Section 8 of the Declaration provides that the delinquent assessment shall bear interest at a rate equal to three percent (3%) above the prevailing prime rate per annum; and

WHEREAS, Article V of the Declaration and W. Va. Code §36B-3-116 provide for the recovery of attorney fees and costs against a delinquent lot and/or its owner; and

WHEREAS, the Association's governing documents and applicable law provide alternative ways for the Association to seek the recovery of the above; and

WHEREAS, the Board of Directors believes that it is in the best interest of the Association to adopt uniform procedures for assessment enforcement and the recovery of delinquent assessment accounts;

NOW, THEREFORE, IT IS HEREBY RESOLVED THAT the Board adopts the following Delinquent Assessment Policy:

I. Assessments in General

A. Each annual assessment shall be due and payable on the first day of January of each calendar year ("Due Date"). Special assessments are due on the date specified by the Board.

B. All documents, correspondence, and notices relating to assessments shall be mailed, emailed, or delivered to the address which appears on the books of the Association or to such other address as is designated by the lot's owner in writing.

C. Non-receipt of an invoice shall in no way relieve the lot's owner of the obligation to pay the amount due by the Due Date.

D. Any assessment, annual or special, unpaid thirty (30) days following its Due Date shall be a delinquent assessment.

II. Delinquent Assessments

A. **Lien and Personal Obligation**. All delinquent assessments for a lot shall immediately become a continuing lien against the lot and the personal obligation of the owner of the lot at the time the assessment was made.

B. **Late Fee.** A late fee equal to **the greater of $15 or ten percent (10%) of the total amount of the delinquent assessment (not including previously assessed late fees or finance charges**) shall automatically be added to the assessment amount due and shall become a part of the continuing lien and personal obligation.

C. **Returned Checks.** If a check used to pay an assessment is returned for insufficient funds that cost or fee charged by the bank to the Association shall be added to the delinquent assessment balance. If the Association receives from any owner, in any accounting year, two or more checks returned for insufficient funds, the Association may require all future payments to be made by certified check, cashier's check, or money order.

D. **Late Notice.** A "Late Notice" may be sent monthly by the Association to owners with delinquent assessments. The Late Notice may warn the owner that the delinquent assessment account has or is incurring interest or late fees and may be sent to legal counsel for legal proceedings. All costs incurred by the Association to prepare and send a Late Notice shall be added to the delinquent assessment account.

E. **Legal Referral for Lien Preparation and Recordation.** All assessment accounts delinquent by more than ninety (90) days, shall be referred to legal counsel for the Association for preparation and recordation of a lien. All costs incurred by the Association for the preparation, recordation and mailing of the lien shall be added to the delinquent assessment account. Nothing in this resolution shall prohibit or prevent the Association from filing a Lien earlier in time as circumstances may warrant.

F. **Final Demand.** Upon referral of the delinquent assessment for lien, the Association may direct the Association's legal counsel to send a final notice to the last known mailing address of the owner by USPS Certified Mail, return receipt requested and by regular mail, stating the amount of the delinquency, including any late fees, interest, and costs. Any such demand may include a copy of the proposed lien and notify the owner that the

lien will be filed within in thirty (30) days against the owner's lot if the delinquency remains.

G. **Further Legal Action.** If an account remains delinquent after the filing of a lien, the Association may authorize and direct its legal counsel to commence appropriate legal action to foreclose upon the lien or to file suit against the property owner(s) upon their personal obligation as circumstances may warrant. No further Notice shall be given to the lot owner(s) before either of these legal proceedings are undertaken. In either case, recovery of attorney fees and costs shall be sought by judgment and/or made part of the delinquent assessment balance as permitted by law.

H. **Payment Plans**. Any time the lot owner contacts the Association or its legal counsel, in writing or via email, and expresses a desire to pay the delinquent assessment balance, but is unable to do so in a single payment, the Association may consider any payment plan proposed by the lot owner, provided that such payment plan does not exceed twelve (12) months in length ("plan period") and addresses both payment of the delinquent assessment balance and the ongoing future assessments. The Association is not obligated or required to accept the terms offered by any lot owner in accepting, rejecting, or negotiating a settlement and may take into consideration the amount of time that has lapsed, the circumstances surrounding the delinquency, the likelihood of future compliance, the status of any ongoing legal proceedings, and the advice of its legal counsel. The Association may agree, but shall not be obligated, to waive part of the delinquent assessment balance if circumstances warrant as a part thereof. All payment plans or settlements shall be reduced to a formal writing exchanged between the parties.

I. **Application of Payments.** Payments received for a lot with a delinquent assessment balance shall be applied in the following order unless a written agreement to the contrary is reached with the lot owner:
    1. Interest (oldest to newest)
    2. Late fees (oldest to newest)
    3. Costs (oldest to newest)
    4. Attorneys' fees (oldest to newest)
    5. The unpaid annual or special Association assessments (oldest to newest).

J. **Suspension of Voting Rights.** In accordance with Article III, Section 2 of the Declaration and Article 3, Section 3 of the Bylaws, a lot owner with a delinquent assessment account balance may not be elected to or continue to serve on the Board of Directors.

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RESOLUTION ACTION RECORD

Duly adopted at a meeting of the Board of Directors held on: March 14, 2020

Motion by: Dawne Holz Seconded by: Sharon Geno

Title, Name	For	Against	Abstain	Absent
President, Jason Géno	X			
Vice President, Steve Katz	X			
Treasurer, Dawne Holz	X			
Secretary, Tom Holz	X			
Director, Sharon Géno	X			
Director, Cindy Van Meter				X
Director, Eric Leinhard	X			

ATTEST:

Resolution effective date: July 1, 2020

Thomas L. Holz
Secretary

3/14/20
Date